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**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO.: 16:02

D.F. YOUNG, INC.,

COMPLAINANT

V.

NYK LINE (NORTH AMERICA) INC.,

RESPONDENT

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COMPLAINANT D.F. YOUNG, INC.'S OPPOSITION TO
RESPONDENT NYK LINE (NORTH AMERICA), INC.'S
MOTION FOR SUMMARY DECISION**

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Complainant D.F. Young, Inc. (“Complaint” or “DFY”), submits this opposition to Respondent’s Motion for Summary Decision of Respondent NYK Line (North America), Inc. (“Respondent” or “NYK”), pursuant to Rule 69 and 70 of the Federal Maritime Commission’s Rules of Practice and Procedure, 46 C.F.R. §§502 *et seq.*

I. INTRODUCTION

Respondent’s Motion fail to demonstrate the absence of a genuine issue of material fact.

Respondent NYK, like so many other businesses, wants to avoid paying one of its legal debt obligations: *i.e.*,

Currently, Respondent justifies this scheme at debt avoidance by claiming that because had it entered into a service contract with a shipper - the Ford Motor Company ("Ford") - that its service contract with Ford eliminates the obligation to pay freight forwarder compensation at its tariff rate. All in reference to a service contract to which DFY is not a party; which does not mention freight forwarder compensation; and all written and testimonial evidence demonstrates that NYK never intended to eliminate its freight forwarder compensation obligation until after DFY brought this claim.

While NYK's current position is an interesting and creative argument, it is a last-ditch and frivolous position.

First, service contracts are both described as regulated in 46 C.F.R. §§530, *et. seq.* a "Service Contract" is defined as:

[A] written contract, other than a Bill of Lading or receipt, between one or more shippers and an individual Ocean Common Carrier, or an agreement between or among Ocean Common Carriers, in which the shipper makes a commitment to provide certain minimal quantity or portion of its cargo or freight revenue over a fixed time period, and the individual ocean common carrier or the agreement commits to a certain rate or rate schedule and a defined service level, such as, assured space, transit time, port rotation, or similar service features. The contract may also specify provisions in the event of non-performance on the part of any party.

46 C.F.R. §530.3(q).

Title 46, U.S. Code Section 40502, titled “Service Contracts,” is the authorizing legislation for 46 C.F.R. §§530, *et. seq.* Neither the legislation nor the operative regulations provide any legitimate basis to exclude freight forwarding compensation obligations owed to a third party non-signator to the service contract. Both the history and language of the legislation and regulations underscore the reason for service contracts; *i.e.* to permit carriers to provide presumably lower cargo rates to shippers in exchange for the promise of steady cargo volume.

Parties to a service contract can make whatever essential agreements they desire. However, there is no legitimate basis to argue that a shipper and carrier agreement for the discounted carriage rates can ever have any effect on obligations of the carrier to pay rate forwarding compensation or to eliminate that obligation from their published tariff.

Typically service contracts are filed with the Commission. However, service contracts for the carriage of “new assembled motor vehicles” appear to be an exception. 46 C.F.R. §530.13(a)(4). And, those service contracts may still be filed if “there is a tariff of general applicability for the transportation, which contains a specific commodity rate for the commodity or service in question ...”. 46 C.F.R. §530.13(c)(2)(i).

In any event, terms deemed “essential” are those that describe the cost of the transport and remedies for breach – not the obligation to pay freight forwarding commission compensation.¹

Here, however, NYK is bound by their voluntarily published Tariff, despite its current claim otherwise. *See e.g.*, 46 U.S.C. §§ 40501, *et. seq.* and 46 C.F.R. §§520 *et seq.*, the operative

¹ These terms include the origin and destination ports; the origin and destination geographic area for intermodal movements; commodities involved, minimum volume, the line-haul rate, the duration of the contract, service commitments and liquidated damages for non-performance, if any. 46 U.S.C. §40502(c).

legislative and regulatory provisions governing ocean carrier tariffs.

Typically, the “scope and purpose of the regulations is to provide shippers and other members of the public the ability to obtain reliable information concerning rates charged by common carriers for transportation services.” The regulations require carriers to meet the publication requirements necessary to inform the public and shippers about their rates and to protect the public from violations by carriers of Section 10 of the Ocean Shipping Reform Act (“the Act”).

Title 46 C.F.R. Sections 520 *et. seq.* in its current form, were promulgated after the Ocean Shipping Reform Act of 1998 was made in law and were designed specifically to regulate the effect of the Act.

Title 46 C.F.R. Section 520.4(d) requires carriers like NYK to publish in their tariffs any rule that effects the application of the tariffs. The rates charged in rules applicable to the shipments at issue here, are those described in NYK Tariff 156. 46 C.F.R. §520.7(c).

While “new assembled motor vehicles” are not subject to Sections 520, *et. seq.*’s requirements, “carriers or conferences which voluntarily publish tariff provisions covering otherwise exempt transportation thereby subject themselves to the requirements of this part, including the requirement to adhere to the tariff provisions.” 46 C.F.R. §520.13 (c)(1). Simply stated, publication means application, despite Respondent NYK’s current claim that they had a secret agreement that the freight forwarding compensation rule of the tariff would not apply. Even if that were the case - and no actual evidence supports NYK’s current position - secret agreements to eliminate published Tariff obligations to non-signators are void. This kind of conduct is no different than all of the unfair agreements and practices that required this

Commission's remedies and that gave rise to the Shipping Act and OSRA.

Of course, NYK could have applied for special permission to waive the provisions of this part under Section 520.14, but NYK did not. That would have required a publication. Perhaps NYK wanted to avoid notifying the market that it was trying to waive freight forwarder compensation. More than likely, NYK knew that it had not, could not, and never intended to waive freight forwarder compensation or its Tariff and Rule.

NYK didn't bother to seek special permission to eliminate freight forwarding compensation obligations in the instant case is because it instead chose to try to coerce DFY into waiving the right, and then tried to solicit DFY's business partner Ford into pressuring DFY to waive the compensation. Neither NYK ploy was successful.

These are all genuine and material questions of fact not addressed by NYK in their current Motion.

By way of brief history, NYK successfully - no one knows how - acquired an agreement from Ford's prior freight forwarder (Schenker, Inc.) to waive freight forwarding compensation. (See Agency and Indemnification Agreement between Respondent and Schenker, Exhibit "4," CX 235-239).

When Complainant became the designated freight forwarder of the Ford, Respondent tried to have DFY waive the right to any freight forwarder compensation. DFY did not agree.

NYK even threatened to nullify the Power of Attorney that DFY needs in order to perform some of its freight forwarder services on (behalf of both Ford and NYK) if DFY ever brought the current claim.

Of course, NYK could not act on that threat, perhaps believing that that may be illegal and could be perceived as a monopolistic threat, not to mention that it would prevent DFY from performing services related to processing bills of lading NYK would have had to do, itself.

NYK's acquisition of a voluntary waiver of freight forwarder compensation from Ford's previous freight forwarder demonstrates that NYK knew that its service contract had nothing whatsoever to do with NYK's obligation to pay freight forwarder compensation under its tariff.

NYK's attempt to persuade DFY to waive freight forwarder compensation in 2015 demonstrates that NYK knew that their service contract was not intended to waive NYK's obligation to pay freight forwarder compensation under its tariff.

NYK's solicitation of assistance from DFY's business partner Ford in order to provide an unfair business advantage over DFY on the freight forwarder compensation issue demonstrates that NYK knew that their service contract was not intended to waive NYK's obligation to pay

freight forwarder compensation under its tariff.

Indeed, when Complainant filed this action seeking freight forwarding compensation, NYK did not even mention any sort “Service Contract Defense.” This “defense” did not exist until September 2016 - and only after Ford rejected NYK’s two, failed attempts to amend the service contracts to actually waive freight forwarder compensation. see also Motion, Exhibit B, RX 14-25”).

Service contracts are no different than any other contracts and are based on the meeting of the minds/intent of the parties. Respondent never believed or claimed that

DFY will demonstrate the comedy of errors underlying NYK’s scheme to avoid honoring its market representations and will demonstrate that many genuine and material factual questions remain, as well as the absence of any legal justification for NYK’s “defense.”

II. RESPONSE AND ARGUMENT

1. Denied. NYK and Ford’s service contracts refer exclusively to the rates for carriage that NYK may be charging Ford, but do not actually define a rate.

In reality, DFY provides many of the services necessary to transport Ford vehicles. NYK, from all appearances, just carries the vehicles from port to port. DFY performs services that NYK is being paid for!

However, Respondent does not arrange for the logistics of the vehicle cargo to the port of loading or from the port of loading. Rather, Complainant does that.

For example, NYK does not arrange for the logistics of the vehicle cargo to the port of loading or from the port of loading. Rather, DFY does that.

Respondent NYK does not prepare or issue the Bills of Lading for these vehicles; Complainant DFY. does that.

Essentially, Complainant DFY. performs all the freight forwarding functions necessary to make sure Ford's vehicles get on to NYK vessels. (See *id.*).

The obligation to pay freight forwarder compensation is not one of those “essential terms.” They are the only terms typically used or referred to in service contracts.

NYK voluntarily published a tariff on an exempt service like new manufactured automobiles. NYK was not required by law to do so.

Current law and fundamental fairness requires that NYK’s published offer be honored.

NYK presumably knows the law, knows the industry and knows the shipping market. NYK conduct demonstrates that NYK knew that their Tariff 156 and Rule 9 was effective and that those publications create a binding NYK obligation. That conduct includes:

Simply stated, if you “voluntarily publish tariff provisions covering otherwise exempt transportation” you “thereby subject [yourself] to the requirement of this part, including the requirement to adhere to the tariff provisions. 46 C.F.R. 520.13(c)(1). NYK published the Tariff and Rule 9; and NYK is required to adhere to the provisions of the Tariff & Rule 9.

3. Denied. There is an absence of evidence of any kind that supports in any way the Respondent NYK’s “Service Contract Defense”. First, Respondent NYK never believed that the service contract eliminated the obligation to pay freight forwarding compensation. (See CX 240-253).

Of course, NYK never mentioned it’s newly asserted “Service Contract Defense” when it answered DFY’s Complaint. NYK hasn’t acted in any manner consistent with an entity that intended to have this “defense” when it entered into the service contracts with Ford. Rather,

NYK's actions demonstrate an entity that knows it doesn't have one.

You don't ask, at arms length negotiation, a person to waive a right that you know that person doesn't have. (See CX 240-254). These are all genuine and material questions of fact that defeat NYK's Motion.

4.

5. Denied as stated.

Normally, Tariffs

on an exempt cargo need not be published. When Respondent voluntarily published Tariff 156 and Rule 9, then though they cover otherwise exempt transportation, they subjected themselves to the requirements of 46 C.F.R. §§520, *et. seq.*, including the requirement to adhere to these tariff provisions. (See *id. at.* §520.13(c)(1)). ‘

In addition to what appears to be a bad faith failure to honor its own tariff, Respondent never sought any special permission to alter or waives the provisions of 46 C.F.R. 520 *et. seq.* (See 46 C.F.R. §520.14(a) & (c)). NYK may not have had to file the Ford/NYK service contracts with the Commission, but Respondent offers no legitimate basis to claim that a confidential service contract in any way overrides its obligation to adhere to the tariff provisions that they published voluntarily pursuant to 46 C.F.R. 520.13(c)(1).

For example, compare the “purpose” of 46 C.F.R. §530.1 to the “scope and purpose of 46 C.F.R. §520.1. Filing service contract appears to be a convenience for carriers and shippers and, pursuant to Section 530.2, the service contract is still “subject to the requirements of the Act.” 46 C.F.R. §520.2.

Section 520, *et seq.*, “Carrier Automated Tariffs,” has a much broader policing function. That Part ensures that shippers and the public can obtain reliable information concerning transportation rates from common carriers. That part also insures the reliability of published tariffs and permits the Commission to insure that those publications are accurate and reliable. Now, NYK claims that its confidential and secret allegedly agreement to avoid its own tariff should be on shippers and other members of the public. Even though that agreement doesn’t mention the actual topic that NYK claims is waived! That argument makes no legitimate sense. The point of publication and Commission regulation is to make the market fair and reliable. Secret contracts

with code-word meaning that no party ascribed to those words is contrary to Shipping regulations applicable to tariffs and service contracts and the Commission's own purpose.

6. - 7.

8. Denied as stated. NYK voluntarily published a tariff on new assembled motor vehicles normally not subject to the requirements of automated tariffs. By voluntarily publishing a tariff provision covering this transportation, NYK must adhere to the tariff provisions. *46 C.F.R. §520.13(c)(1)*.

9. Admitted in part. Denied in part.

NYK's obligation and agreement to pay FFC to DFY is set forth in their Tariff 156; Rule 9.

NYK's obligation is premised on the payment for freight forwarding services performed by DFY for the transportation of Ford vehicles from the United States and that would necessarily performed by NYK. The Ford/NYK service contracts do not identify any money to be paid by NYK to Ford - or any other party.

There is no legitimate dispute that DFY provided the required freight forwarding services; there is no legitimate dispute that DFY's certification under 46 C.F.R, §515.42(b) & (c) is deficient or inappropriate.

NYK has proffered no legitimate basis for its failure to pay DFY the FFC.

10. Denied. On March 4, 2016 NYK answered DFY's Verified Complaint. It made no mention of a "Service Contract Defense". That is because there is no legitimate legal or factual basis for that allegedly defense. All of NYK's prior conduct demonstrates the absence of any legitimate or factual basis upon which to claim that the Ford/NYK service contracts were intended to waive freight forwarding compensation obligations or to waive Rule 9 of Tariff 156.

A legitimate way for NYK to waive or cancel Tariff 156 or Rule 9 would have been by the method provided in 46 C.F.R. §§520, *et. seq.* And, that is exactly what NYK did on November 3, 2016. A candid party does not cancel a tariff after it claims that the tariff was waived by some secret agreement. (See RX 67).

11. Admitted in part. Denied in part. NYK's Tariff 156 and Rule 9 titled "Freight Order Compensation" is the applicable tariff that binds NYK here. NYK owes DFY FFC for shipments made between March 1, 2015 and November 3, 2016, the effective cancellation date of NYK's Tariff 156.

12. Denied as stated. NYK seems to italicize random words from Rule 9 of Tariff 156 without indicating emphasis. Simply stated, FFC is calculated on gross freight.

The potential components of what might make up the "gross freight", to the extent that they apply, are listed. The "gross freight" already paid on the Ford shipments is fixed. That amount was the amount that Ford agreed to pay NYK. Mentioning a tariff freight, or anything else does not add to the meaning of "gross freight" in this specific situation. If indeed NYK intended that the word "freight" have a meaning other than what was agreed to be paid under a service contract or a tariff, it should have listed those specific, non-exclusive and alternate

definitions or meanings in its tariff.

Section 520.7, titled “Tariff Limitations” requires published tariffs to “be clear and definite.” 46 C.F.R. §520.7.

, and finally, cancelling Rule 9 of Tariff 156 pursuant to 46 C.F.R. §520.7(4)(b) which would be unnecessary if NYK believed that freight forwarding compensation has been waived under the tariff by the existence due to the existence of the Ford/NYK service contracts, that NYK now, astoundingly, did all of those things while knowing that the Ford/NYK service contract waived FFC.

What we have here is questionable conduct with reference to a tariff. That is precisely the conduct that this commission exists to remedy.²

13.

²NYK Rule 9 Amendment as of November 2, 2016 is relevant to this Motion and this case. That cancellation or amendment was effected under the requirements of 46 C.F.R. §§520 *et. seq.* That it is the only method by which NYK could have legitimately avoided payment freight forwarder compensation.

that does not mention or

implicate FFC.

14. Denied as stated. }

15.

16.

The words “negotiated” “non-tariff” or “service contract” “freight rates” are absent. In fact, there is no rate listed anywhere.

Title 46 C.F.R. Part 530 entitled “Service Contracts” provides some guidance for “[c]ertainty of terms.” Service contract terms may not “be uncertain, vague or ambiguous”. *See e.g., 46 C.F.R. §530.8(c)(1)*. NYK’s unique interpretation of the service contract terms satisfies the definition of uncertain, vague and ambiguous. That unique interpretation is not enforceable.

Nor do any of the service contracts mention Rule 9.

Parenthetically, Rule 9 compensation is based on “gross freight”. Here, the gross freight is what has actually been collected by NYK from Ford.

Further, NYK’s “tariff argument,” that the Rule 9 doesn’t apply, is practically speaking, NYK’s evasion of 46 C.F.R. §§520, *et seq.*’s cancellation requirements. And, that cancellation seems to be working retrospectively. So, strictly speaking, with this sort of argument, NYK is changing the published tariff more than eighteen months after DFY relied upon it - and, eighteen months before NYK actually cancelled the freight forwarding compensation obligation under Rule 9 on November 2, 2016!

DFY submits that the entire point of service contracts is to permit carriers to offer shippers lower rates for greater cargo certainty. Those concepts have nothing to do with the obligation to pay freight forwarding compensation for freight forwarding services.

If NYK wanted to avoid freight forwarding compensation payments to DFY, it should have asked D.F. Young to waive FFC.

Why would NYK even bother to seek a waiver if there was any legitimate, factual or legal basis for this service contract defense? NYK's own conduct raises genuine and material questions of fact.

17. Denied. Until NYK cancelled its offer to pay FFC provided in Rule 9 of Tariff 156, and its voluntary publication with provisions covering exempt transportation, NYK subjected itself specifically to 46 C.F.R. §§520, *et seq.* "including the requirement to adhere to the tariff provisions."

A private agreement with Ford doesn't change the federal maritime law or the Commission's oversight. That is simply a fundamental Constitutional/Supremacy Clause standard. Simply stated, Ford and NYK cannot agree to trump Federal Law!

Of course, NYK could have avoided this issue by:

- 1.
2. NYK could have persuaded - and perhaps paid for - D.F. Young's waiver of the Rule 9 compensation – of course NYK tried that and was unsuccessful as well; and/or
3. Cancelling the Tariff and Rule at any time with notice.

These are the only three legitimate and effective methods to avoid incurring the obligations currently owed by NYK to DFY.

18. Admitted.

19. Denied.

NYK does not know where any of this information comes from. However, logic and fact demand that this information comes from Ford, but must be ordered, organized, and audited by DFY before

DFY sends it to NYK. NYK can offer no testimony to the contrary. (See *id.*).

After auditing the materials sent back to them from NYK, DFY prepares and produces each bill of lading. (See *id.*).

20. Denied as stated.

(See RX 28, ¶7; RX 52, ¶7).

DFY provides a substantial quantity of those services to NYK. The port is only required to provide "regular forecasts of commodities to be shipped." ((See RX 28, ¶3; RX 52, ¶3). DFY provides virtually all the remaining logistics up to and including the point of reserving the space, confirming the space, ensuring that the bill of lading is appropriate before it issues and prepares it and booking each specific vehicle on each specific vessel. (See CX 260-295).

21 – 24. Denied as stated.

25. Denied. Respondent NYK voluntarily published tariff provisions covering otherwise exempt transportation – in this case new assembled automobiles – and are subject to the requirement of 46 CFR §§520, *et. seq.* That requirement includes "the requirement to adhere to the tariff provisions." 46 CFR 520.13(c)(1).

26. Denied as stated. Pursuant to the operation of 46 CFR 520.13(c)(1), NYK's tariff and Rule providing for the payment of freight forwarder compensation are effective to obligate NYK's payment of that compensation to DFY with freight forwarding services provided in this matter. That obligation exists through November 3, 2016 – when NYK cancelled that portion of its tariff and rule pursuant to the provisions of 40 CFR §§520, *et seq.*

27. Denied. NYK's tariff has the same effect as an offer. DFY's providing those services has the same effect as an acceptance.

NYK's current attempt to describe the payment of freight forwarding compensation as some sort of wishy-washy unguided personal choice of a carrier is nonsense. Title 46 US Code §40904 is written in that manner to describe payments that can be made and appears to have been written in that manner in order to address market concerns where carriers paid freight forwarder to perform less than the required services. The typical situation is where an alleged "freight forwarder" and carrier colluded to require payments of this type for doing virtually nothing.

Title 46 CFR Section 515.42(b) provides: "**a common carrier may pay compensation to a licensed freight forwarder only pursuant to such common carrier's tariff provisions**, such compensation shall be paid on any shipment forwarded on behalf of others where the forwarder has provided a certification as prescribed in paragraph (c) of this section and the shipper has been disclosed on the bill of lading as provided for in paragraph (a) of this section. 46 C.F.R. §§515.42(b). In actuality, the payment is mandatory for providing the services.

NYK's reference to 46 U.S.C. §40501(b)(3) is also misleading. Section 40501(b)(3) describes what may be in a tariff including both the level of compensation, if any, of any ocean freight forwarder by a carrier or conference". Clearly, Section 40501 provides that a tariff may specify no compensation will be paid to a freight forwarder by a carrier.

NYK's assertions on 46 CFR §520.4(a)(3) amount to the same sort of confused/misleading statement.

Finally, Favormen and Company v. Lykes Brothers, 21 F.C. 372 (1978), in addition to

predating the 1984 and 1998 revisions in the Shipping Act, involved identical claims for brokerage on the same shipments. There, Lykes Brothers, the carrier, had already paid brokerage to another entity³.

Of course, this case had nothing to do with a tariff for the payment of freight forwarder compensation.

(See RX 26).

28 – 30. Denied as stated. The parties are before the Commission as a result of NYK's failure to honor its tariff. The simple truth is that NYK did not honor its published tariff. Now, NYK comes into this Court with a random assembly of excuses to the effect that:

All of these points are nonsense. We are here because NYK does not want to pay freight forwarding compensation under its published tariff and Rule 9. To date, no legitimate factual or legal basis has been proffered.

31 – 34. Denied as stated.

³ A situation that has been resolved by 540 C.F.R. §515.42(g).

35. Denied as stated. DFY seeks freight forwarder compensation based on NYK's tariff and enforcement of 46 CFR §§520.13(c)(1).

NYK's current attempt notwithstanding, a carrier cannot silently and confidentially eliminate an element of their tariff – in this case Rule 9 of Tariff 156 – by agreement with the party unaffected by the silent tariff change.

36 – 39. Denied as stated. Simply stated, freight forwarding compensation is calculated on gross freight.

The potential components of what might make up the “gross freight”, to the extent that they apply, are listed. The “gross freight” already paid on the Ford shipments is fixed. That amount was the amount that Ford agreed to pay NYK. Mentioning a tariff freight, or anything else does not add to the meaning of “gross freight” in this specific situation. If indeed NYK intended that the word “freight” have a meaning other than what was agreed to be paid under a service contract or a tariff, it should have listed those specific, non-exclusive and alternate

definitions or meanings in its tariff. :

Section 520.7, titled "Tariff Limitations" requires published tariffs to "be clear and definite." 46 C.F.R. §520.7.

, and finally, cancelling Rule 9 of Tariff 156 pursuant to 46 C.F.R. §520.7(4)(b) which would be unnecessary if NYK believed that freight forwarding compensation has been waived under the tariff by the existence due to the existence of the Ford/NYK service contracts, that NYK now, astoundingly, did all of those things while knowing that the Ford/NYK service contract waived FFC.

What we have here is questionable conduct with reference to a tariff. That is precisely the conduct that this commission exists to remedy.

The transportation of the Ford vehicles that DFY booked onto NYK vessels and carried as NYK cargo were the end result of DFY Freight forwarding services that DFY provided to get those vehicles onto those vessels and that entitles DFY to FFC of 1.25% on the gross freight of all

auto manufacturers' cargo. DFY agrees that Ford and NYK have a service contract in effect that does not mention or implicate FFC.

40. Denied as stated. The interpretation of the use, meaning and language that comprises a tariff or an element of that tariff is subject to 46 CFR §§520, *et. seq.* and 46 U.S.C. § 40101.

41 – 45. Denied as stated. NYK's Tariff 156 – Rule 9 is not ambiguous.

(See RX 26). NYK's new interpretation is ambiguous and contrary to the plain meaning rule. Here, "gross freight" is a known and agreed upon value. The inquiry ends there.

NYK's current attempt notwithstanding, a carrier cannot silently and confidentially eliminate an element of their tariff – in this case Rule 9 of Tariff 156 – by agreement with the party unaffected by the silent tariff change.

See also response to paragraph 39.

2695 46. Denied as stated. Title 46 C.F.R. §520.2 provides that tariffs must be written in plain language. Under NKY's current argument, this one is not.

NYK's current attempt notwithstanding, a carrier cannot silently and confidentially eliminate an element of their tariff – in this case Rule 9 of Tariff 156 – by agreement with the party unaffected by the silent tariff change.

Arguably, to amend or cancel a tariff or one of its elements, the Commission must be notified. In order to deviate from any of these rule, special permission must be sought by a carrier, and provided by the Commission. The only way that NYK could legitimately cancel its tariff and

rule to pay 1.25% of the gross freight on freight forwarder commission would be to publish it with notice to the Commission that it only applied to non-service contract entities; or to ask special permission to do that.

Here, NYK seeks 18 months post service to offer a relatively odd argument that a "service contract rate" supplants the word "tariff" and render the entire Tariff 156 and Rule 9 meaningless.

"Gross Freight" is an amount. If NYK believed that the "Tariff" rate and the "Service Contract" rate were different and had any effect on the amount they owed forwarders like DFY, that ambiguity and unique twist on reality, should have been reflected in the language of their tariff. It was not. See also response to paragraphs 41-45.

47. Denied as stated. Title 46 C.F.R. 515.42(d) provides that a licensed freight forwarder cannot accept compensation from a common carrier different than that specifically provided in the carrier's tariff. DFY will accept 1.25% of the gross freight. That is a known number in NYK's tariff.

48. If NYK actually believed that its service contract actually eliminated its tariff and Rule 9 obligations, it could have clarified that potential ambiguity in its tariff. However, it didn't.

Of course, if NYK fundamentally believes the correctness of the position, the DFY will accept the tariff rate for each vehicle DFY's counsel is calculating that rate now, but it should be astronomically larger than the current claim.

DFY notes that the full sentence reads "the gross freight includes the tariff freight and heavy lift and extra length charges, if applicable, but shall not, for the purpose of computing compensation, include charges assessed for containerization of cargo, etc." (See RX 26). Thus this "Tariff Rate" that comprises the "Gross Freight" is conditioned by "if applicable". Whichever

is applicable, the gross freight is known.

49. - 50. DFY admits that NYK cannot alter or amend their tariff or any of their tariff elements by a contract. However, if there is an ambiguity as NYK seems to want to demonstrate, that ambiguity is construed against NYK. In other words, they cannot take advantage of their own mistake. Here, the gross freight is known. Both parties know it. There is no ambiguity there.

51. Denied as stated.

52. Denied as stated. (No statute is cited).

53. Denied as stated.

54. - 55. Denied as state.

Not withstanding a claim that the "gross freight" includes the tariff rate. . . if applicable, does not restrict entitlement to FFC. Rather it refers to a potential method to calculate the value of the gross freight if there is a tariff rate. And then, only if the "Tariff Rate" is applicable. Here, the gross freight is known - it is what Ford paid NYK for freight.

There is no real dispute that service contracts can incorporate anything they want to that affects the parties to that contract.

On the other hand, the Federal Maritime Commission published their interim status report on the Ocean Shipping Reform Act in June, 2000. The Commission advised that to safeguard

against statutory violations, carriers and agreements are required to confidentially file their service contracts with the Commission and make available certain essential terms of the general public in tariff format. (See June 2000 Interim Status Report, Exhibit 2, CX 103-107, 120,-124, 126, 127, 131-134) Here, NYK's service contract was not filed with the Commission - so the Commission was unable to safeguard against any statutory violation.

In any event, no mention was made about tariffs, incorporating them, or eliminating tariff and tariff elements any third-party obligations, like freight forwarding compensation. The update did specifically review in Part V: tariffs, requirement for carriers to publish their tariffs and make them available to any person, without time, quantity or other limitation: "[t]he Commission is charged with prescribing requirements for the accessibility and accuracy" of these systems; the periodic review of these systems; and the prohibition of the use of systems that fail to meet the Commission's requirements." (See *id.*, CX 139-140).

And any confusion about the wording of Rule 9 in NYK's tariff is construed against NYK and interpreted to avoid absurd results.

DFY submits that NYK's act of essentially having a secret, non-accessible tariff system through a service contract violates the requirement of public access demanded by 46 C.F.R. §§520, *et. seq.*

In September, 2001, the Commission published "the impact of the Ocean Shipping Reform Act of 1998". (See Exhibit "3"). However, the Commission considered the issue where the terms of the bill of lading conflict with the terms of the service contract and considered "it may be unclear which document would govern. This may be an issue appropriately addressed through legislation." (See Exhibit 3, CX 199). The Commission also suggested that "Congress may wish

to clarify whether. . . the level of freight forwarder compensation paid for shipments moving under a service contract may be different from the level compensation paid for shipments rated according to a tariff rate. That is, did Congress intend that parties to a service contract be permitted to negotiate the level of freight forwarder compensation to be paid on shipments moving under the service contract?" (See *id.*, CX196). Thus, NYK seeks a ruling in it's favor on an issue that the Commission has determined can only be resolved through an act of Congress. That alone requires denial of NYK's Motion as they seek legislative remedy.

The Commission recognized that "the level of freight forwarder compensation is now being included as a negotiable term in many service contracts, independent of the level set forth in the applicable tariff." (See *id.*). However, freight forwarder compensation, its level, etc., was never included in contracts between NYK and Ford. Currently, these considerations are just not addressed by the facts here. There is no serious dispute that Part 520 requires tariffs to be accurate and that NYK must adhere to it. NYK did not. The Commission, in its November, 2015 "Performance and Accountability Report" relates that "[t]he 1984 Act requires all carriers to make their rates, charges and practices available and automated tariff systems available electronically to the public. (See Exhibit 1, CX 13).

III. CONCLUSION

The Commission is charged by Congress to monitor the activities of ocean common carriers, review competitive activities like agreements among common carriers, and detect and remedy malpractices and violations of prohibitive facts acts set forth in Section 10 of the 1984 Act as well as processing agreements, service contracts and reviewing common carrier's privately published tariff systems for accessibility, accuracy and reasonable terms. Here, the Commission is

well-suited to grant the relief requested by DFY and deny NYK's summary decision Motion.

Respectfully submitted,

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Date: January 31, 2017

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CERTIFICATE OF SERVICE

The undersigned certifies that on the date noted below he served a true and correct copy of the foregoing Complainant D.F. Young, Inc.'s Opposition to Motion for Summary Decision of Respondent NYK Line (North America), Inc. via Fed Ex Overnight and email on the following at the addresses provided:

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